

Daily Market Summary

July 31, 2026

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: **+0.03** → **Neutral**

Trend (5-day EMA): **+0.00** → **Neutral** — smoothed, the readable day-over-day signal.

Component	Weight	Score
Market data	70%	+0.09
News headlines	20%	-0.16
Fed (rate expectations)	10%	-0.05

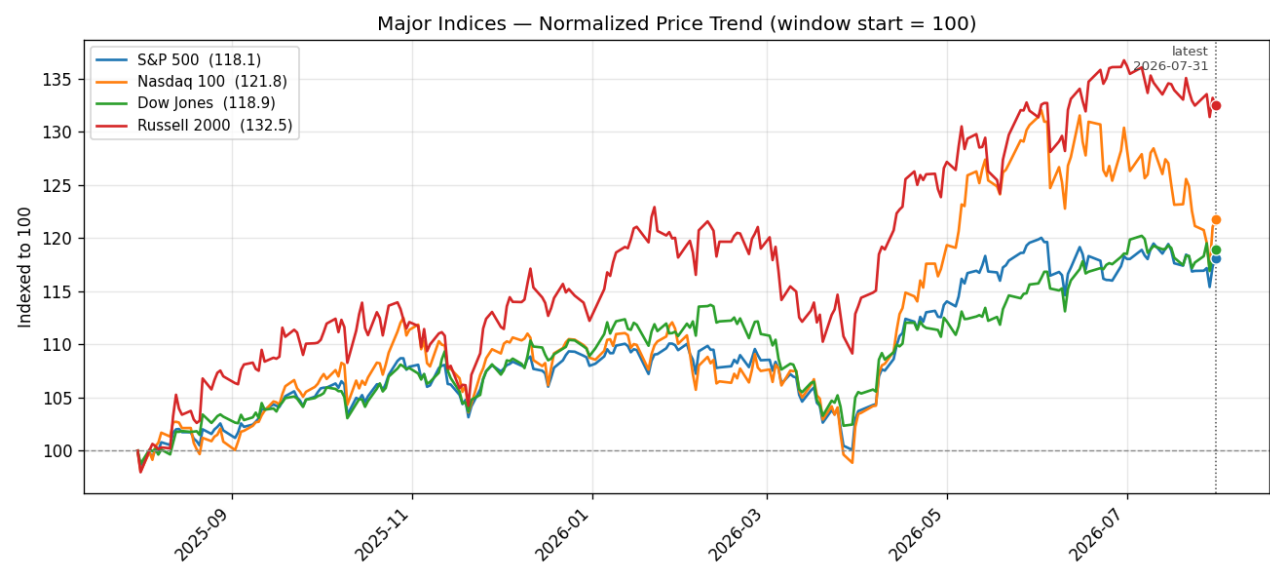
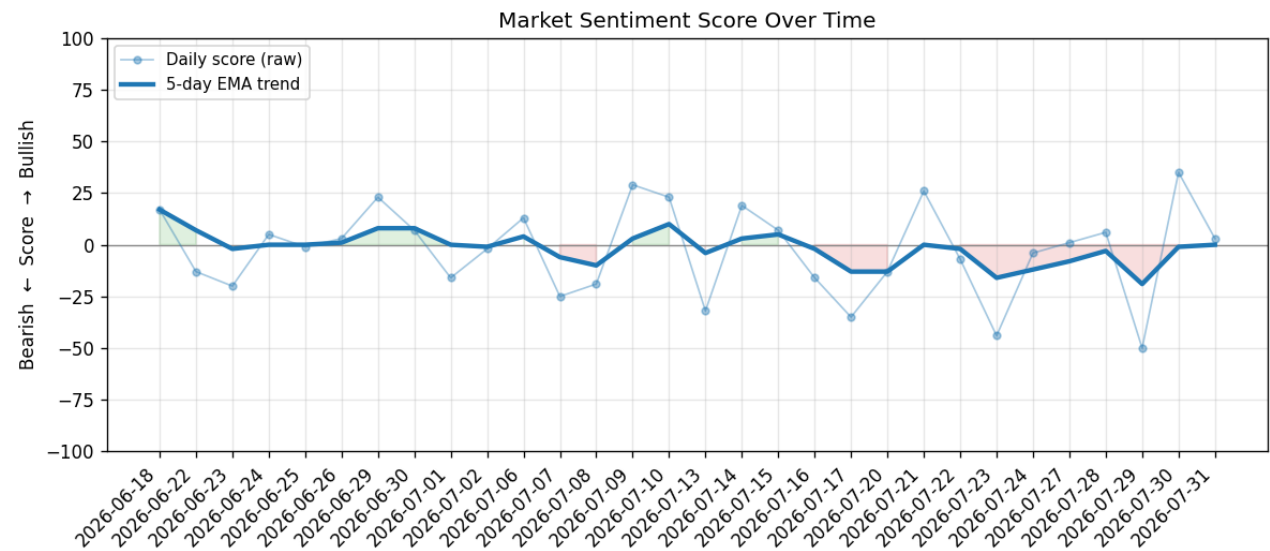
Equities rose with Nasdaq +0.6%, S&P 500 +0.7%, VIX -6.4%. Sector breadth: 4/11 sectors up. 10Y yield +1.8%. News headlines read slightly bearish. Fed-policy expectations tightened (13-Week T-Bill Yield +0.7bp). Today's overall market tone: Neutral. (news scored with finbert)

Standout headlines

Most bullish (+0.44) — Fintech broker Clear Street offers investors pre-IPO access to \$188 billion AI giant Databricks

Most bearish (-0.95) — Apple set to lose nearly \$500 billion in value after weak forecast

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
Hyperscalers & Neoclouds	+3.02%	+2.42% vs Nasdaq	43%	—	Bullish (+0.86)
Networking / Interconnect	+2.32%	+1.72% vs Nasdaq	36%	—	Bullish (+0.80)
SaaS	+1.01%	+0.41% vs Nasdaq	89%	—	Bullish (+0.61)
Banking	+0.22%	-0.48% vs S&P	44%	—	Slightly Bullish (+0.14)
Pharma / Healthcare	-0.16%	-0.86% vs S&P	69%	—	Neutral (+0.06)
Semiconductors / Compute	+0.30%	-0.30% vs Nasdaq	20%	—	Neutral (-0.04)
Consumer	-0.33%	-1.03% vs S&P	38%	—	Slightly Bearish (-0.29)
Memory (DRAM/NAND/HBM)	-2.29%	-2.89% vs Nasdaq	25%	—	Bearish (-0.89)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Fit	Day	Today's Read
Hyperscalers & Neoclouds	1.64	1.7%	+3.02%	Bullish — advance, but heavily hedged — protection still bid
Pharma / Healthcare	1.14	1.8%	-0.16%	Bearish — orderly decline; positioning unremarkable
Semiconductors / Compute	0.96	2.4%	+0.30%	Bullish — broad advance; positioning unremarkable
Networking / Interconnect	0.76	4.3%	+2.32%	Bullish — short-squeeze rebound — shorts/puts were loaded into the selloff and fueled the rip
Consumer	0.71	2.0%	-0.33%	Bearish — orderly decline; positioning unremarkable
SaaS	0.65	5.4%	+1.01%	Bullish — broad advance; positioning unremarkable

Banking	0.64	0.0%	+0.22%	Bullish — complacent advance — few hedges or shorts in place
Memory (DRAM/NAND/HBM)	0.43	5.7%	-2.28%	Bearish — decline without hedging demand — flows not panicked
All tracked	0.90	2.4%	+0.34%	Bullish — broad advance; positioning unremarkable

Bloomberg News Summary

US Stocks Rally To End Turbulent Month | The Close 7/31/2026 (aired 2026-07-31) · Full-transcript summary · [watch on YouTube](#)

Key takeaways

- **S&P 500 essentially flat for July** despite significant intraday volatility, closing the month up ~0.6% on Friday. Tech stocks rallied into month-end, but semiconductor stocks posted their worst monthly performance since October 2008 (-20%), while hyperscalers like Microsoft had their best month since 2007.
- **30-year Treasury yields surged to highest since 2007**, posting the biggest monthly jump since 2024. Fed Chair Kevin Warsh's Wednesday press conference sparked credibility concerns after the central bank held rates steady despite elevated inflation, triggering a sharp yield curve steepening and dollar weakness.
- **Amazon soared 15%** on blowout cloud earnings, while Apple tumbled 9% on supply chain constraints weighing on iPhone sales forecasts. Roblox suffered its worst day on record (-30%) on weak user metrics; Reddit also plunged on no new data licensing deals.
- **Oil prices jumped ~20% in July** amid Middle East tensions, with Chevron and Exxon posting record earnings. Small-cap stocks (Russell 2000) declined 3% for the month, pressured by higher long-term rates now at 4.7% on the 10-year.

Guest views

- **Phoebe White, UBS (rates strategist):** Fed's reduced forward guidance creates higher uncertainty and term premium, justifying elevated long-end yields; expects Fed on hold through year-end despite three dissenters pushing for tightening.
- **Veronica Willis, Wells Fargo Investment Institute:** Still favorable on tech despite pullback—use dips as buying opportunities; equity markets can handle current yield levels but may struggle if 10-year exceeds 5%.
- **Libby Leffler, Firstbloom founder/former Meta executive:** Market now punishing AI capex spending without proof of customers; Microsoft and Amazon showed receipts and got rewarded, while Meta's ambition alone wasn't enough.
- **Barton Crockett, Rosenblatt Securities (Apple analyst):** Maintains neutral rating on valuation concerns; expects typical post-supercycle deceleration in iPhone sales next year despite AI features, compounded by supply constraints limiting near-term upside.

Stocks & sectors discussed

Energy sector led (+1.5%) on surging oil prices with Chevron up 20% for the month on record earnings; Amazon up 15% post-earnings; Apple down 9%; Roblox worst day ever (-30%); Reddit, Coinbase, Circle also declined; Dexcom and Monolithic Power Systems among top S&P gainers.

"The silence has been quite deafening. The financial markets basically said thumbs down... There is a loss of credibility from that press conference." — Bond trader on Fed Chair Kevin Warsh's Wednesday communication

Top Gainers

Company	Price	% Change
IES Holdings, Inc. (IESC)	744.54	+30.27%
AXT Inc (AXTI)	60.43	+28.74%
Integer Holdings Corporation (ITGR)	121.21	+20.18%
Ambarella, Inc. (AMBA)	86.00	+16.08%
Amazon.com, Inc. (AMZN)	271.58	+15.32%

Top News

Want to trade SpaceX for Apple? 1inch says skip the dollars — Yahoo Finance

The S&P 500 is making a change by adding this little-known industrial stock — MarketWatch (Top)

Ferguson Enterprises' stock was rallying more than 8% after news the Newport News, Va., company will be joining the S&P 500 index, edging out better-known names for inclusion.

Investors may want to focus on front end of yield curve — as Street anticipates next Fed meetings — CNBC (Finance)

Bond market investors may want to focus on the front of the yield curve, according to Allspring Global Investments' Noah Wise.

Alphabet rolls back AI image generation in Google Earth over policy violations — Investing.com

S&P 500 ends with its first July decline since 2014. Here are the stocks that led the selloff. — MarketWatch (Top)

After a whipsaw end to the month, the stock market's decline was highlighted by the worst month for chip stocks in 24 years.

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,489.72	+52.09	+0.70%
Nasdaq 100	28,274.19	+167.85	+0.60%
Dow Jones	52,485.03	+276.97	+0.53%
Russell 2000	2,931.34	-14.76	-0.50%
VIX	15.99	-1.10	-6.44%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	200.75	+5.71	+2.93%
Microsoft	464.72	+13.62	+3.02%
AMD	476.15	-9.24	-1.90%
Meta	556.71	+17.68	+3.28%
Alphabet	356.65	+22.97	+6.88%
Broadcom	389.28	+1.44	+0.37%
Micron	823.03	-51.63	-5.90%
Intel	90.20	-0.93	-1.02%
SanDisk	1,214.83	-65.13	-5.09%
Coherent	262.89	+13.83	+5.55%
Amazon	271.58	+36.08	+15.32%
Apple	308.91	-24.52	-7.35%
Arm	239.69	-1.85	-0.77%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,098.60	-62.00	-1.49%
Crude Oil	86.80	+3.21	+3.84%
Bitcoin	62,855.69	-1,866.21	-2.88%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.15	-0.00	-0.01%
USD/JPY	157.40	-2.21	-1.38%
GBP/USD	1.35	+0.00	+0.17%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.75	+0.08	+1.76%
13-Week T-Bill Yield	3.68	+0.01	+0.19%

Analyst Summary

Major Indices Advance as Big Tech Diverges Sharply

U.S. equities finished higher on Friday, closing out a volatile July with the S&P 500 rising 0.70% to 7,489.72 and the Nasdaq 100 gaining 0.60%. The Dow Jones added 0.53%, while small-caps lagged with the Russell 2000 down 0.50%. The VIX dropped 6.44% to 15.99, reflecting easing near-term volatility concerns despite month-end turbulence.

The session marked the end of a tumultuous month that saw the S&P 500 post its first July decline since 2014, finishing essentially flat despite Friday's gains. Underlying the headline calm was extreme sector dispersion: semiconductor stocks suffered their worst monthly performance since October 2008 (-20%), while hyperscalers posted their best month since 2007.

Amazon Soars, Apple Crumbles on Earnings

Amazon led mega-cap tech and topped the day's gainers with a stunning 15.32% surge following blowout cloud earnings, demonstrating tangible AI monetization that investors rewarded. The rally helped push Hyperscalers & Neoclouds up 3.02% as a group, with Microsoft gaining 3.02% and Meta advancing 3.28%. Alphabet jumped 6.88%, though the company faced scrutiny after rolling back AI image generation in Google Earth over policy violations.

In stark contrast, Apple plummeted 7.35% on weak iPhone sales forecasts driven by supply chain constraints, with reports suggesting the company could lose nearly \$500 billion in market value. The divergence underscored a market increasingly demanding proof of AI revenue, not just spending promises.

Memory stocks faced continued pressure, with Micron down 5.90% and SanDisk falling 5.09% as the Memory sector dropped 2.29%. The segment's low put/call ratio (0.43) suggests sellers remain composed despite the decline.

Fed Credibility Concerns Drive Rates Higher

Treasury yields continued their climb, with the 10-year rising 8 basis points to 4.75%—the highest level in years. The move extended July's dramatic repricing following Fed Chair Kevin Warsh's Wednesday press conference, which sparked credibility concerns after the central bank held rates steady despite elevated inflation. Three Fed officials who dissented in favor of hiking warned that action is needed now against inflation, further pressuring bond markets. The 30-year yield reportedly hit its highest level since 2007, with the biggest monthly jump since 2024.

Cross-Asset Signals and Positioning

Oil surged 3.84% to \$86.80, capping a roughly 20% monthly gain driven by Middle East tensions. Gold retreated 1.49%, while Bitcoin fell 2.88% to \$62,855. The dollar weakened against the yen (-1.38%), reflecting continued Fed credibility concerns.

Positioning data shows Hyperscalers heavily hedged (P/C 1.64) despite strong gains, while Networking stocks (P/C 0.76, +2.32%) appear driven by a short-squeeze dynamic. The broader market's balanced

put/call ratio (0.90) suggests measured sentiment amid rising rate uncertainty.